AD-HOC OPINION · COMMUNICATION SERVICES

Meta: a strong ad engine, an AI buildout still to prove

21 October 2026 · Syz Research · Results due after the US close today

Meta is not on the Syz focus list. We are **constructive on the long term**, and the momentum ahead of tonight's print is encouraging, in advertising and in the early usage data around Muse. While we are **cautiously optimistic**, **the outcome is highly binary**: Muse will certainly be a key point of the call, and the reaction would depend less on the quarter than on whether management can make the 2027 AI bill look financeable and productive.

Market cap	Q3 revenue consensus	Q2 free cash flow	Q3 EPS consensus
USD 1,769 bn	**USD 63.0 bn**	**USD 0.8 bn**	**USD 6.54**
as of 21 October 2026	guidance USD 61 to 64 bn	after USD 31 bn of capex	FactSet, as of 21 October 2026

1. The quarter should hold up

Ad momentum was solid into Q3: in Q2, impressions rose 14% and the average price per ad 12%, helped by AI-driven ranking and conversion. Consensus of about USD 63 bn sits in the upper half of the USD 61 to 64 bn guidance, and a figure at or above it would not be a surprise.

Reported EPS (consensus USD 6.54) will be distorted by a one-off charge of around USD 10 bn for the settlement with 52 US state attorneys general, not in the USD 165 to 169 bn expense guidance. A weak EPS should not be read as an operating miss, provided management separates the charge from the underlying cost trend.

2. Muse lifts sentiment, not yet earnings

Meta's AI assistant Muse has started fast: about 10.9 million downloads since its September launch and over 2.5 million daily users by mid-October, according to app-tracking data. What is missing is retention, the cost of serving each user and revenue per user. Direct monetisation looks like a 2027 story at the earliest, and the suspension of chat sharing after a data exposure shows that user trust is part of the equation.

3. The real debate: 2027 cash economics

Spending is now absorbing almost all of the cash the business generates. Beyond capex, Meta has signed about USD 279 bn of data-centre leases that have not yet started, around 2.1 times its trailing operating cash flow, with about USD 82 bn of non-cancellable payments due in 2027. Market expectations for 2027 capex sit around USD 186 to 195 bn, and any further step-up would land on the share.

In one sentence, the risk is that Meta builds a cost base the size of a cloud provider's before showing a revenue base to match, while advertising remains its only reported revenue engine.

4. Other risks

Regulation (youth safety rules, European publishers contesting new terms on the use of their content from 30 October), advertiser questions on marginal returns and lead quality, and competition from TikTok and connected TV for budgets.

WHAT WOULD STRENGTHEN OUR VIEW

- Revenue at or above the USD 63 bn consensus, and a firm Q4 outlook.
- 2027 capex and expense growth broadly in line with current expectations.
- Muse figures on retention and compute efficiency, plus early enterprise AI traction.

WHAT WOULD CHANGE OUR VIEW

- A soft Q4 revenue outlook.
- 2027 capex signalled well above current expectations without matching revenue evidence.
- Muse discussed through downloads only, with no retention, cost or monetisation metrics.

What this means for investors

Our long-term stance is constructive: the advertising franchise can fund the AI strategy for now. This note is not a recommendation to buy the share, which is not on the Syz focus list.

Results nights can bring sharp moves in both directions. The key test tonight is less the quarter than the 2027 spending signal: management would need to show AI turning into a return-on-investment story, rather than a revenue story for chip suppliers and data-centre builders. The points above are those we would watch to judge whether the long-term case strengthens or weakens.

Sources: Syz Research, FactSet (consensus), Bloomberg (market data), both as of 21 October 2026; Meta Platforms Q2 2026 results and Form 10-Q; press reports (legal settlement, Muse usage, publishers). Lease-to-cash-flow ratio: Syz calculation.

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